INSIDE THE CUSTOMER INFORMATION SHEET

Mandatory for insurers to provide under the IRDAI circular, The Customer Information Sheet (CIS) is a 'know your policy' document which captures all aspects in the policy in a clear and uniform format. This means that the CIS is standardised across insurers and the language used in it is easy to follow. As a policyholder, it is in your interest to read and understand this and not be surprised with policy clauses, sub-limits and claim procedure among other requirements

General information	Name of the policy and policy number
Policy Type	a) Indemnity b) Defined Benefit c) Combination of a) and b)
Sum Insured	The sum insured is clearly stated
Policy Coverage	↘ **Pre-hospitalisation** (treatment prior to admission in hospital) of xx days amounting to x% of claim ↘ **Post-hospitalisation** (treatment after discharge) within xx days from date of discharge amounting to x% of claim ↘ **Specified / Listed procedures** requiring less than xx hours of hospitalisation (day care) ↘ **OPD coverage** ↘ **Maternity benefit** etc
Exclusions	↘ **Insurer** has to ensure listing of all applicable exclusions
Waiting period	↘ **Details of waiting** periods for certain procedures and pre-existing conditions, as well as exclusions/ deductibles
Financial limits of coverage	↘ **The policy** will pay only up to the limits specified for the following diseases/ procedures. Details of sub-limit, co-payment, deductible and any other limit are explained
Grievance Redress	↘ **Provides contact details** of the company's grievance officers and IRDAI-appointed ombudsman offices
Portability & Migration	↘ **Details and process** for switching your policy to another insurer or policy
Moratorium Period	↘ **After completion of 5 continuous** (moratorium period) years, no look back to be applied. The moratorium would be applicable for sums insured of the first policy and subsequently completion of five continuous years would be applicable from date of enhancement of sums insured only on the enhanced limits. After the expiry of moratorium period, no policy shall be contestable except for proven fraud and specified permanent exclusions
Your Obligations	↘ **You need to disclose** all pre-existing disease/s or condition/s before buying a policy. Non-disclosure may affect the claim settlement

such a claim on discharge within three hours, else bear the additional cost, if any. This is a major step in streamlining the ordeal of hospital admission and discharge.

↘ **Hospitals can't hold up:** Often hospitals would not discharge patients for want of authorisation from the insurer. The circular says a hospital can't do this and introduces a penalty clause on the insurer for delayed authorisation. This is a big relief as discharge from hospital, especially when insurance claim is being worked, causes a lot of anxiety.

INSURERS ARE ASKED TO DESIGN MEDICAL INSURANCE PRODUCTS FOR SENIOR CITIZENS, CHILDREN, MATERNITY, STUDENTS AND OTHERS

↘ **Pre-existing disease (PED):** Maximum waiting period for covering pre-existing diseases has been reduced from 4 years to 3 years. This is good news for those with PED looking for insurance cover. The circular prohibits insurers from refusing policies to those with severe PED such as heart disease, cancer, renal failure and AIDS.

↘ **No more indemnity-based policies:** Health insurances functioned on the principle of indemnity—a policy compensates you for only the extent of the loss incurred. The circular does away with this, meaning insurers can issue only benefit-based policies to cover expenses. This will ensure that a fixed sum is paid to policyholders upon the diagnosis of a covered disease.

↘ **Multiple policies:** Policyholders with multiple health insurance policies get to choose the policy used for the claim. So, the primary insurer with whom the claim is first submitted will coordinate settlement of balance amount from the other insurers. This is useful for those who have a mix of group and individual policies with coverage limits.

Policyholders can also receive premium refund for the unexpired policy period if they cancel the policy mid-way. All individual policies are renewable and cannot be denied on the basis of previous claims.

The circular also asks insurers to include a customer information sheet (see *Inside the Customer Information Sheet*) as part of the policy document. Hospitals are mandated to immediately release the mortal remains in case of death of a policyholder and not make attendants wait for settlements. ■

–Narayan Krishnamurthy